

Suggestions for India's Finance Minister

On how he can shape the budget to give a boost to the Indian electronics industry

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The Indian electronics industry seems to have bounced back to the growth phase. Since the government of India's budget an-

nouncement was near, we tried to figure out whether the budget could help our industry grow even faster.

We spoke to industry stalwarts and many responded with valuable inputs. While a few issues seem to be

common between them, some of which have been removed to avoid repetition, what has beautifully emerged are the various aspects that the finance minister needs to bear in mind about the Indian electronics industry.

It should encourage semiconductor design, high-tech manufacturing



Jaswinder Ahuja, corporate vice president and managing director, Cadence Design Systems, feels that the core issues should centre around semiconductor design, high-tech manufacturing, measures to promote domestic electronics manufacturing, encouraging research, and amendments to tax and duty structures. He hopes that favourable policies addressing these areas will not only help the domestic semiconductor industry to compete aggressively in the global market but also encourage the growth of the local market.

For semiconductor design, he expects initiatives to promote R&D and product design with an emphasis on creating local IP, incubating Indian start-ups with capital, subsidies, STPI/SEZ benefits and tax incentives, extension of fiscal benefits under the STP scheme until 2015 and alignment of service tax with excise duty/CVD.

"Extend the semiconductor policy to 2015 and lower the threshold limit for ATMP and other ecosystem units. These areas form a critical part of the value chain of high-tech manufacturing, and the current investment limit of \$500 million is a deterrent for units involved in ATMPs, optical LEDs, storage devices, LCDs, photovoltaic and fuel cells, etc," says Ahuja.

He suggests flexibility in the time allotted to submit legally binding financial closure documents and release of incentives to be advanced so as to provide investors with funds at the early stage of project setup when the requirement for funds is high.

Ahuja recommends continuation of excise duty/CVD rates announced in the Fiscal Incentive Package at 8 per cent on all electronics products.

EFY's View

Import Duty: Products vs Components

An interesting debate sparked off on "whether we should increase or decrease the import duty on foreign products and components."

The overall agreement amongst Indian manufacturers was that import duty on finished products should be increased. Why? Because the components sourced by Indian manufacturers attract an import duty, while most of the finished products don't.

But by increasing the cost of the imported products, the finance minister will end up pinching the customers' pocket.

The alternative seems to be reduction of the import duty on components. That will affect the Indian component manufacturers then, who are already facing tough times.

Thankfully, we got some suggestions to end this dilemma. One thought is to nullify import duties on all materials that are required for manufacturing of electronic components, and provide special concessions, tax-breaks or subsidies to Indian component manufacturers. The only issue here seems to be that reducing import duties on the raw material could negatively affect Indian manufacturers of those products and materials.

Hence, the best way out seems to be:

1. Keep the import duty on finished products at present levels (nil in most cases)
2. Make the import duty nil for all electronic components too
3. Provide fiscal incentives, tax-breaks or subsidies to Indian manufacturers of electronic components to safeguard them from foreign onslaught
4. If possible, give benefits to product manufacturers who source components from Indian manufacturers
5. Measures #3 and #4 should be taken for a limited period of time only, till the time Indian manufacturers build up scale